STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Nippon Steel

Tokyo Stock Exchange: 5401 · Materials / Steel · Japan

Priced as a declining Japanese steelmaker; becoming a global producer

OVERWEIGHT	¥916	¥659	+39%
Rating	Base-case value	Price, 29 Oct 2026	Upside, 12 months

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

Overweight: overseas profit more than doubles while the stock sits at half of book

OUR CALL

OVERWEIGHT

Target	¥916
Price	¥659
Upside	+39%
Horizon	12 months
Conviction	Medium

1

Overseas profit more than doubles

¥123bn in FY2025 to ¥320bn guided for FY2026; U.S. Steel swings to ≥ ¥180bn.

×2.6

overseas underlying profit

2

The domestic base is restructured

Kashima closure and contract-price reform cut the break-even by 40%.

≥ ¥900bn

H2 FY2026 annualised run-rate

3

Financing risk is gone

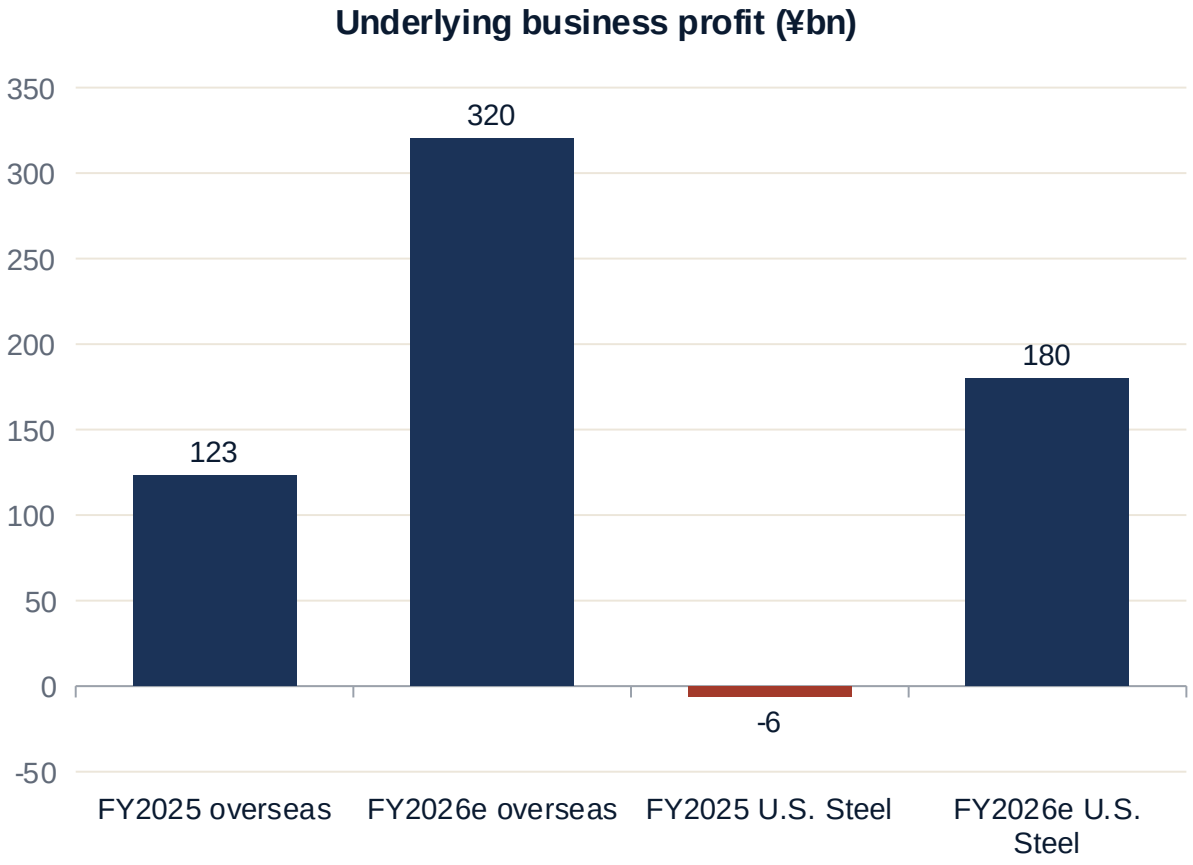
¥500bn hybrid loan, ¥600bn convertible bonds, ¥900bn JBIC loan.

0.54x

price / book

Source: Nippon Steel FY2025 and Q1 FY2026 results, Integrated Report 2026; P/B third-party (29 Oct 2026).

Four regions: Japan restructured, the US and India now drive growth



Domestic steel

Japan's largest integrated steelmaker: ¥528bn of underlying profit in FY2025.

U.S. Steel

100% owned since June 2025, under a national security agreement with a US golden share.

India and Asia

AM/NS India with ArcelorMittal, Thai and ASEAN operations.

Source: Nippon Steel FY2025 results presentation (13 May 2026); Integrated Report 2026.

Chinese exports press on Asian prices; US tariffs protect the new growth engine

~119 Mt

Chinese steel exports, 2025

A record, per the company: the main pressure on Asian spreads.

Sec. 232

US steel tariffs

Protect U.S. Steel's pricing.

¥160/$

FY2026 yen assumption

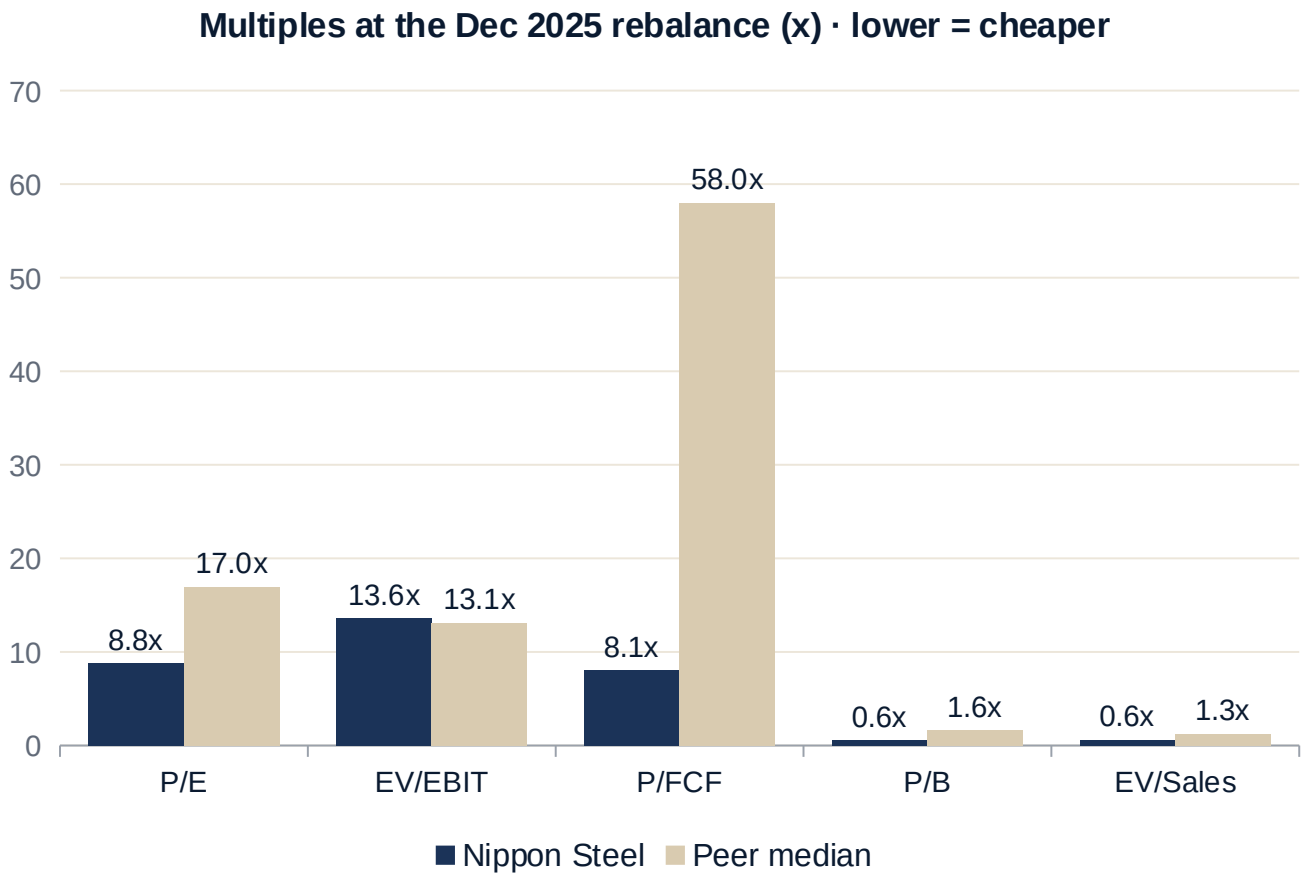
A weak yen lifts overseas profit in yen.

–¥60bn

Middle East cost impact

Raw materials, fuel and logistics, already in the guide.

Ranked 1 of 62 in Materials: a third of the peer P/B



1 / 62

Value rank in its sector

Book-to-price is the strongest signal (z = +3.3).

2 / 10

Rebalances held (since Jun 2025)

H1 2026 return −14.1% vs +10.8% for MSCI World.

Not held, June 2026

In the 70/30 value strategy

Japan and Materials are not among the cheapest core lines today.

Source: Thoth Ledger stock screen, Bloomberg data (FY to 2025-03, used with a 6-month lag); peers = same GICS industry group.

VARIANT PERCEPTION

The market sees the past; the earnings mix has already changed

THE MARKET SAYS	WE SAY
“A declining domestic steelmaker.”	Overseas profit is guided at ¥320bn in FY2026, ~45% of the total.
“U.S. Steel was overpaid and will need equity.”	Financing is done with hybrids, convertibles and JBIC loans; the plan targets D/E of about 0.7.
“FY2025 ROE of 0.3% proves value destruction.”	¥271bn of one-off impairments; the 2030 plan targets ROE of about 10%.

FY2025 was the trough; the FY2026 guide is the turn

	FY2024	FY2025	Q1 FY2026	FY2026 guide
Revenue	¥8,696bn	¥10,063bn	¥2,821bn	¥11,200bn
Underlying profit	**¥794bn**	**¥650bn**	**¥108bn**	**≥ ¥700bn**
of which U.S. Steel	—	−¥6bn	¥32bn	≥ ¥180bn
Profit to owners	—	¥17bn*	¥75bn	¥290bn
DPS (post-split)	¥32	¥24	—	¥24 floor

WHAT TO WATCH

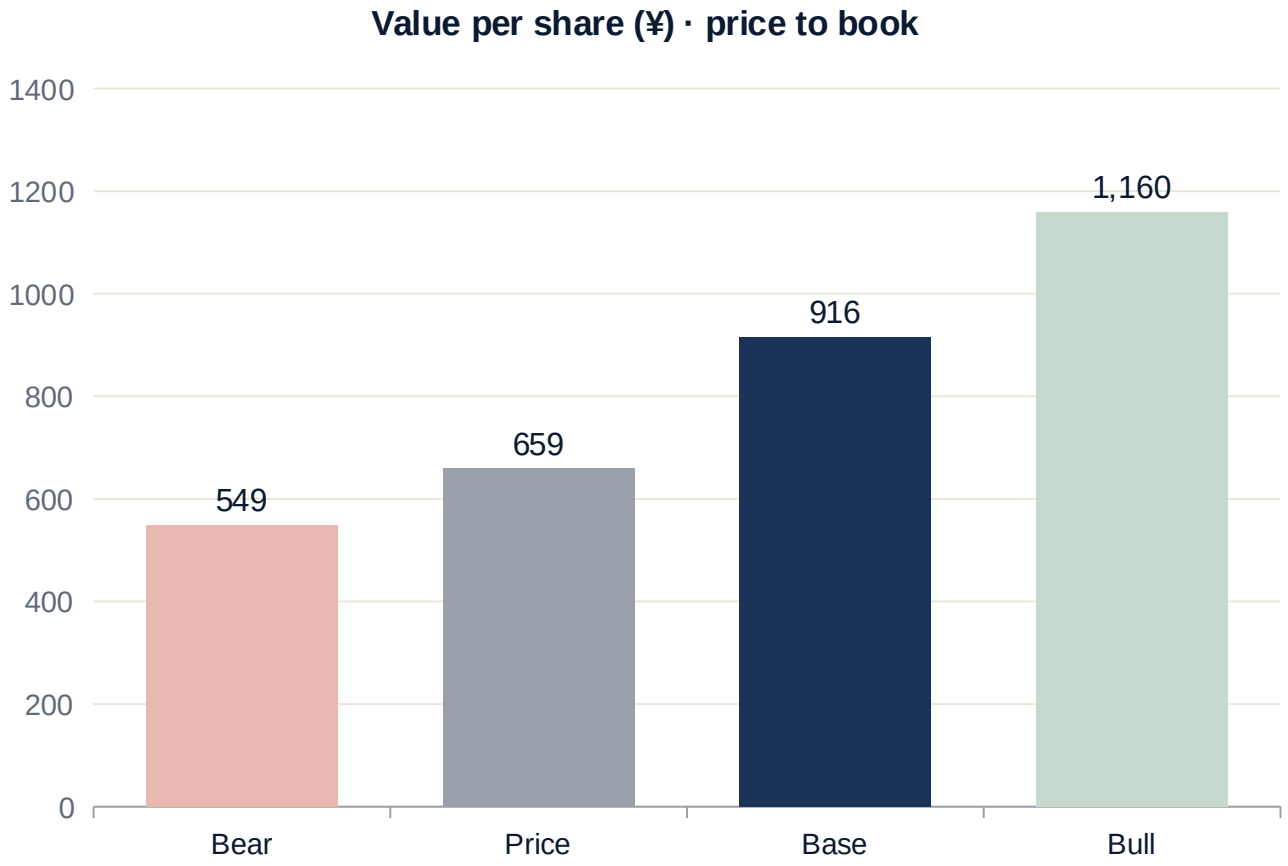
H1 FY2026

Does H1 underlying profit reach ¥250bn, and is U.S. Steel on track for ¥180bn?

*Source: Nippon Steel FY2025 and Q1 FY2026 materials. *After ¥271bn of impairments. FY ends 31 March. Post 5-for-1 split.*

VALUATION

¥916 base case: 0.75x book once the FY2026 guide is delivered



HOW WE GET THERE

Price to book against the return path

1. **0.75x × ¥1,221 book**
   FY2026 guide delivered; H2 run-rate at least ¥900bn.
2. **Bear ¥549, bull ¥1,160**
   0.45x if U.S. Steel stalls; 0.95x on the path to 10% ROE.
3. **~1x for 10% ROE**
   The 2030 plan target would justify book value.

Source: own valuation; book value per share implied by the third-party P/B (29 Oct 2026), to be confirmed on Bloomberg.

CATALYSTS

The H1 results test the U.S. Steel swing



HARD

H1 FY2026 results

H1 underlying profit against ¥250bn.

SOFT

US ramp-up

Gary furnace back, Big River 2 ramp-up.

SOFT

Asset sales

At least ¥100bn.

HARD

FY2026 results

First FY2027 forecast.

The number to watch: U.S. Steel underlying profit on track for at least ¥180bn in FY2026.

RISKS

Execution in the US is the risk; financing is no longer one

U.S. Steel turnaround stalls

Tariff protection and a $11bn investment plan.

Chinese exports keep rising

Domestic break-even already cut by 40%.

Yen strengthens

Overseas profit is real growth, not only translation.

WE CHANGE THE CALL IF

- → FY2026 underlying profit below ¥700bn
- → U.S. Steel profit well below ¥180bn
- → An equity raise or a dividend below the ¥24 floor

OVERWEIGHT

Base case ¥916 · +39%

A global steelmaker priced at half its book

×2.6	0.54x	H1 FY26
Overseas profit	**Price / book**	**Key catalyst**
FY2025 → FY2026e	third-party, 29 Oct	U.S. Steel profit

Questions?

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Sources and disclosures

[1] Nippon Steel Corp., "Q1 FY2026 Financial Results" (presentation), 4 Aug 2026

[2] Nippon Steel Corp., "FY2025 Financial Results" (presentation), 13 May 2026

[3] Nippon Steel Corp., IR presentation for individual investors, 23 Jun 2026 (not read in full)

[4] Nippon Steel Corp., 2030 Medium- to Long-term Management Plan, 12 Dec 2025

[5] Nippon Steel newsroom 2026 (press releases index)

[6] MarketScreener, Nippon Steel quotes and valuation pages (close 29 Oct 2026, 52-week range, market cap, multiples) (third-party market data; to be replaced by Bloomberg, Dec 2026)

[7] Nippon Steel Q2 FY2025 presentation, 5 Nov 2025 (D/E 0.74 at Sep-2025; financing policy)

[8] Nippon Steel, Integrated Report 2026 (U. S. Steel acquisition; ¥500bn hybrid loan Sep 2025, ¥600bn convertible bonds Mar 2026, ¥900bn JBIC syndicated loan Mar 2026)

[9] Nippon Steel, Consolidated Financial Results for the Nine Months Ended 31 Dec 2025 (IFRS), 24 Feb 2026

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